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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

COMMERCE **7100/01**

Paper 1 Multiple Choice **May/June 2008**

1 hour

Additional Materials: Multiple Choice Answer Sheet

Additional Materials
(**not** provided by CIE): Soft clean eraser
Soft pencil (type B or HB is recommended)
Ruler
Protractor

* 1 0 3 2 8 8 5 5 8 2 *

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

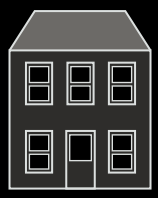
Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.

The businesses described in this question paper are entirely fictitious.

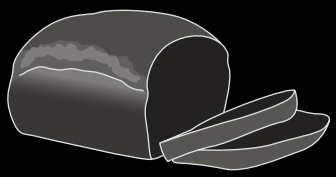
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A



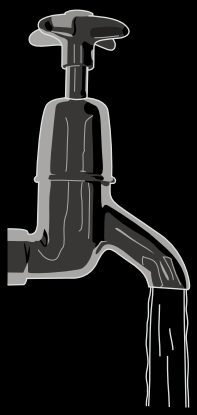
B



C



D



2 Why are commercial services essential to a motorcycle manufacturer?

A They assist the manufacturer to get the motorcycles to the consumer.

B They control the quality of the motorcycles produced.

C They organise workers needed in the motorcycle factory.

D They produce the raw materials necessary for making motorcycles.

3 Which of the following are aids to trade?

A banking and insurance

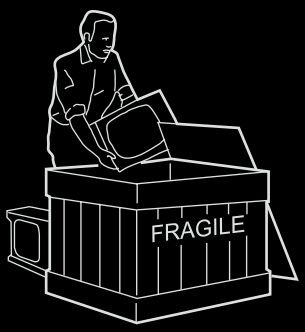
B importing and exporting

C manufacturing and construction

D mining and fishing

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A



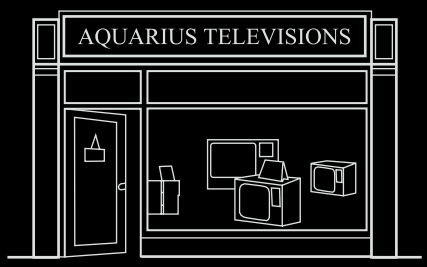
B



C



D



5 To attract customers, a large retail organisation purchases articles at $2.50 each and sells them at $2.00 each.

What is this called?

A bar coding

B credit

C loss-leader

D mark up

6 In which way is shopping on the Internet different from traditional shopping?

A accepts credit card payments

B offers cheaper prices

C operates without sales staff

D provides variety of goods

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SWORDFISH CREDIT CARD STATEMENT FOR

MR. A. DHAR FOR APRIL 2008

ACCOUNT No. 5482 7641 1602 5121 **CREDIT LIMIT** $10 000

Interest of 5% is added to an outstanding balance at end of each month.

Previous balance outstanding	$ 3000
Interest of 5% added	$ 150
Spending during April	
XL Petrol	$ 250
Supergloss Ltd	$ 200
AK Superstore	$ 400
TOTAL	$ 4000

Mr Dhar wishes to pay off 20% of his credit card debt.

How much will he pay?

A $170 **B** $600 **C** $800 **D** $2000

9 Why does a government wish to pass consumer protection laws?

A Consumers want a bargain when buying a product.

B Consumers need safeguarding from unscrupulous traders.

C Retailers are assisted to trade legally.

D Retailers can make profits from consumers.

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ABC Wholesalers
10 Bull Street
Rosehill

CREDIT NOTE

Gold Stores
Porth Street
Port Louis

	$
12 cases canned fish @ $100 per case	1200
goods short delivered	

What happens when this credit note is issued?

A Goods valued at $1200 will be delivered by ABC Wholesalers to Gold Stores.

B Goods valued at $1200 will be delivered by Gold Stores to ABC Wholesalers.

C The amount due to ABC Wholesalers is increased by $1200.

D The amount due to ABC Wholesalers is reduced by $1200.

14 When does a trader give trade discount?

A when payment is received in cash

B when prompt payment is received

C when selling goods in discount stores

D when selling to another trader

15 Mrs Manley owns a fashion store. Her wholesaler's trade price for shirts is $20 each. She receives a 10 % discount on her purchases.

She sells the shirts in her store for $27 each.

What is her percentage mark-up?

A 35 % **B** 38.8 % **C** 45 % **D** 50 %

16 Why might a company benefit from international trade?

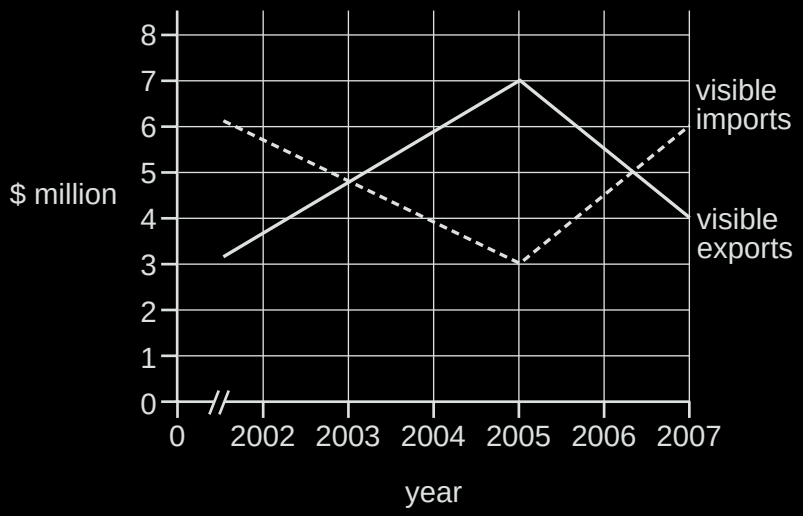
A It can export goods and services into a large market.

B It can impose import duties on foreign goods and services.

C It can increase trade in the home market.

D It can reduce the wages paid to staff.

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What was the balance of trade in 2007?

A -$1 million **B** -$2 million **C** +$2 million **D** +$4 million

18 What is the main advantage of a trading bloc for its member countries?

A free trade between member countries

B guaranteed prices to producers

C increased revenue from customs duties

D more trade with non-member countries

19 Why might a government impose a quota on imports?

A to increase imports

B to prevent smuggling

C to protect local industries

D to raise tax revenue

20 Why might advertising lead to lower prices?

A Advertising costs are deducted from product prices.

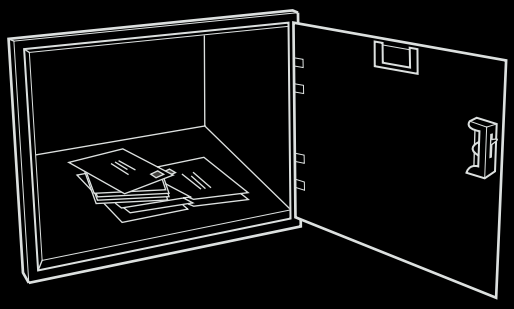
B Advertising costs are lower than production costs.

C Competition with other manufacturers might be reduced.

D Increased sales reduce unit costs of production.

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What is this service called?

A night safe

B poste restante

C private box

D special delivery

26 What would an exporter **not** consider when choosing a suitable form of transport to carry his goods?

A the cost of transporting the goods

B the duty payable in the importer's country

C the quantity of goods to be exported

D the time within which the products are required

27 What is the advantage of using containers in transport?

A ability to carry any cargo

B faster turn-around

C fixed timetables

D need for special handling equipment

28 Which statement applies to an air waybill?

A acts as a contract

B gives title to the goods

C is a negotiable instrument

D made up of four copies

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